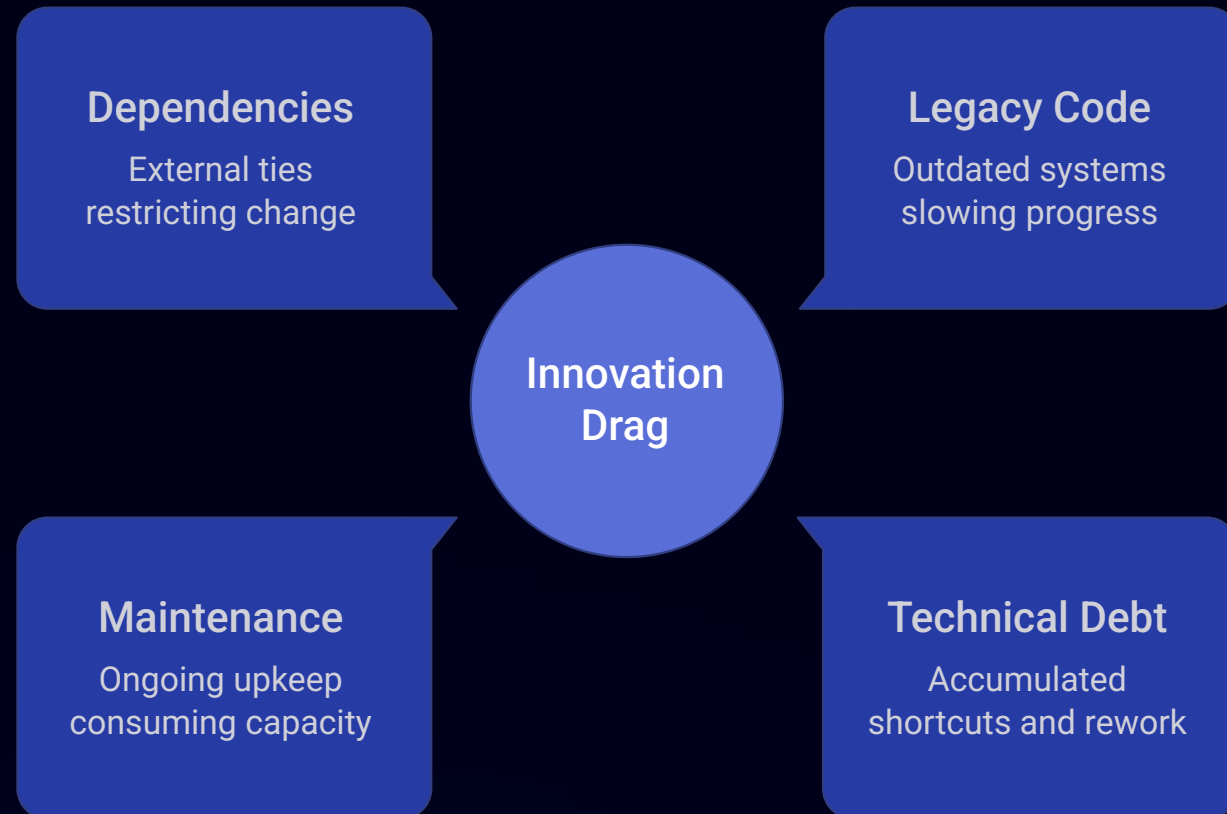


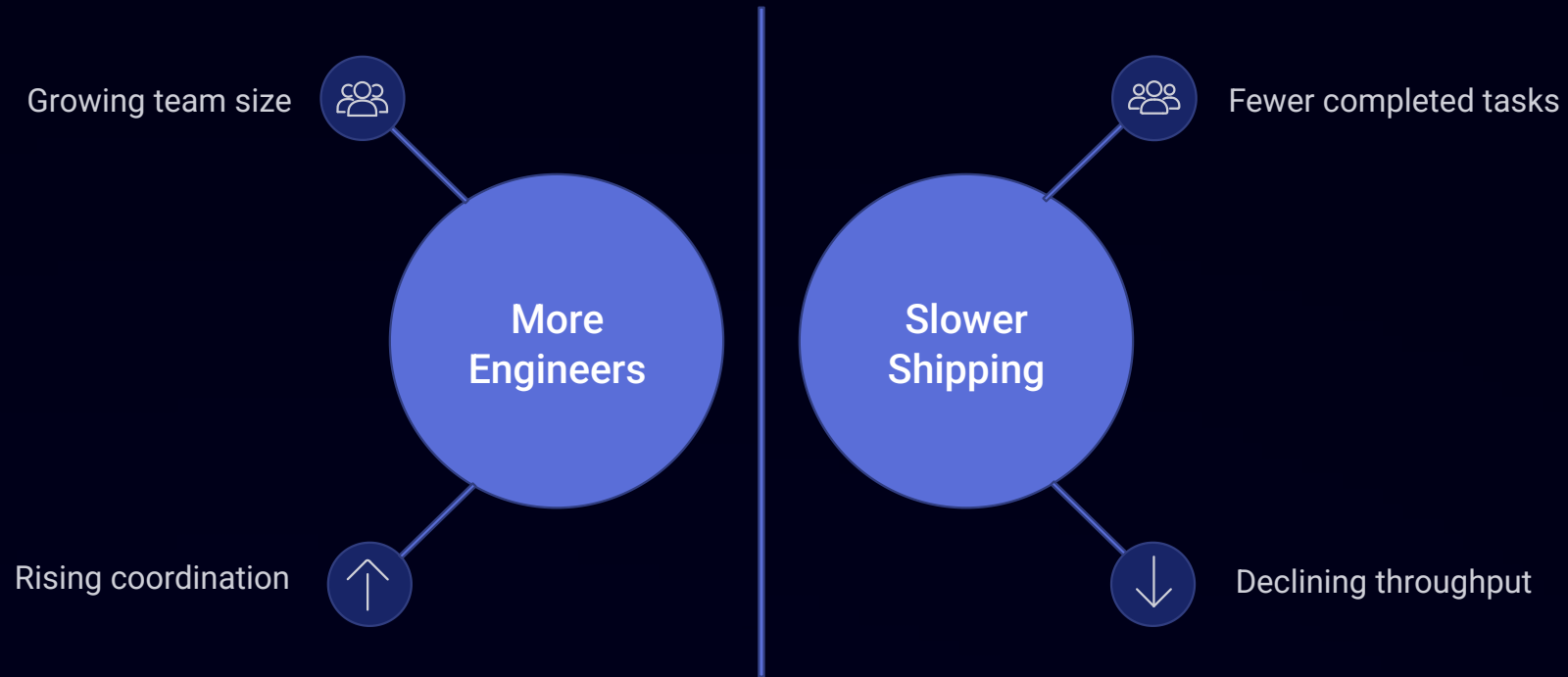
The Innovation Tax

Why your "Digital Transformation" is stalling. Calculating the drag coefficient of your legacy roadmap.

Richard Ewing | The Product Economist



Why "More Engineers" = "Slower Shipping."



The Paradox of Scale

The Accountant's Fallacy.

1

The Fallacy:

Most leaders think Code = Asset.

2

The Truth:

Code = Liability. Functionality = Asset.

3

The Math:

Every line of code you write is a financial promise to maintain, secure, and debug it forever.

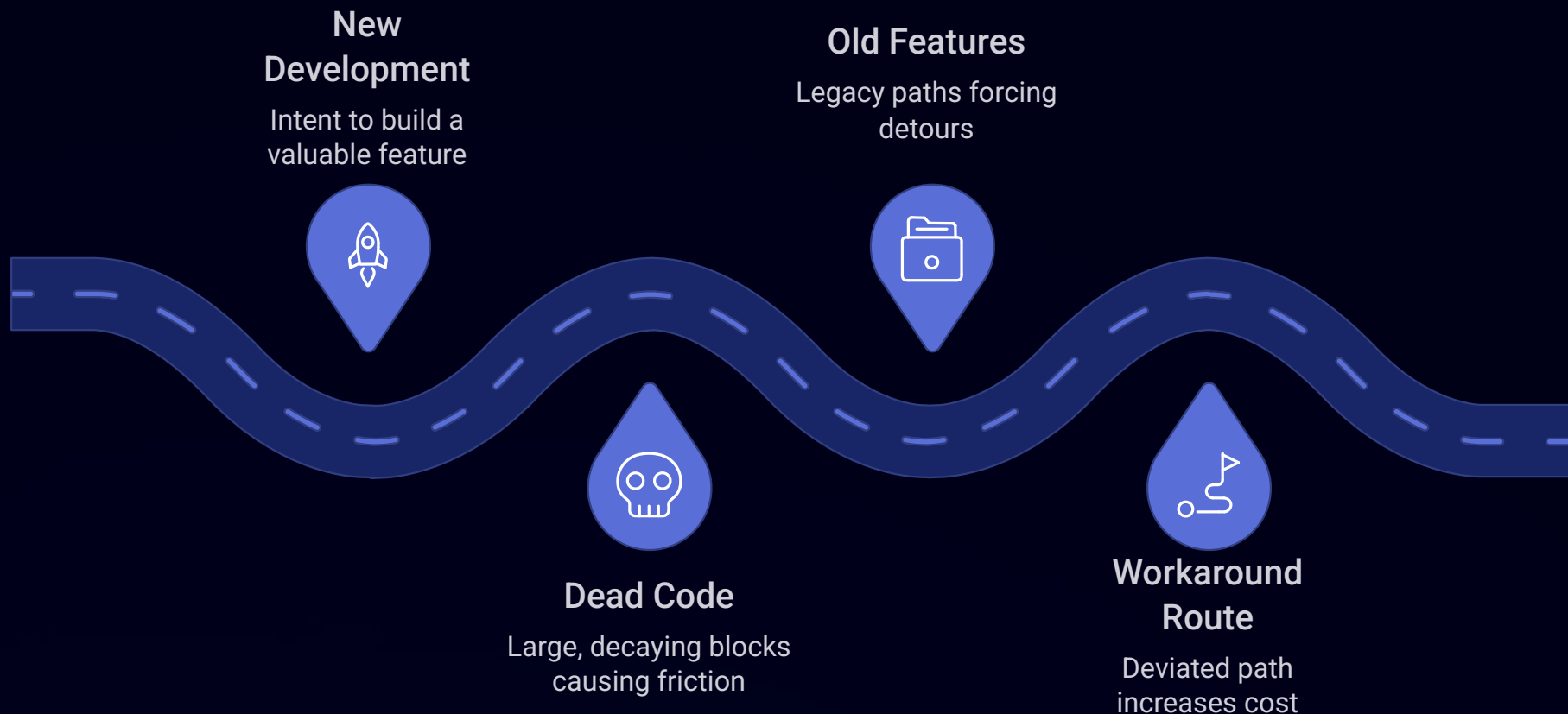
The Most Expensive Word in Product.

The Scenario:

You built a feature "just in case" or "maybe users will like it." It failed. But you kept it.

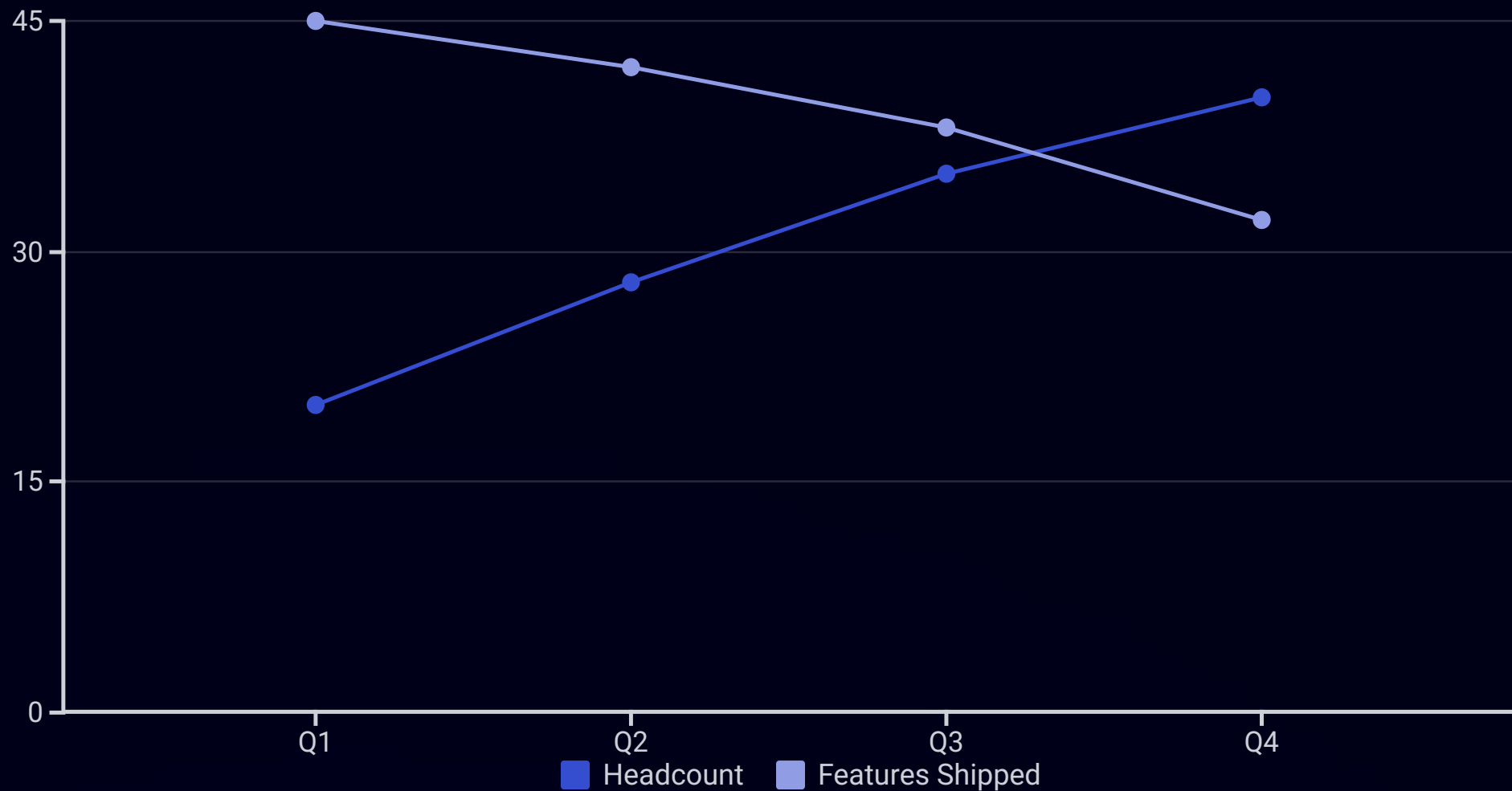
The Tax:

Now, every time you want to build something *new*, your engineers have to navigate around that old, dead code. It acts like friction in an engine.



Velocity Decay Curve.

A graph showing "Headcount" going UP (Linear), but "Features Shipped" going DOWN.



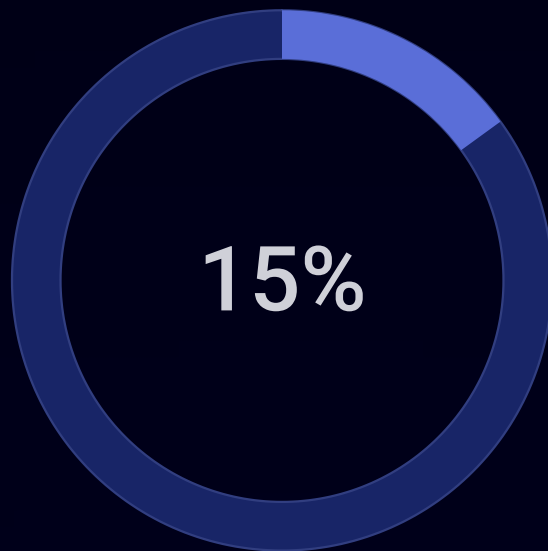
📌 **The Gap:** The gap between the lines is the **Innovation Tax**. It is the bandwidth consumed by complexity, meetings, and dependencies.

Re-classifying Engineering Work.

The Problem:

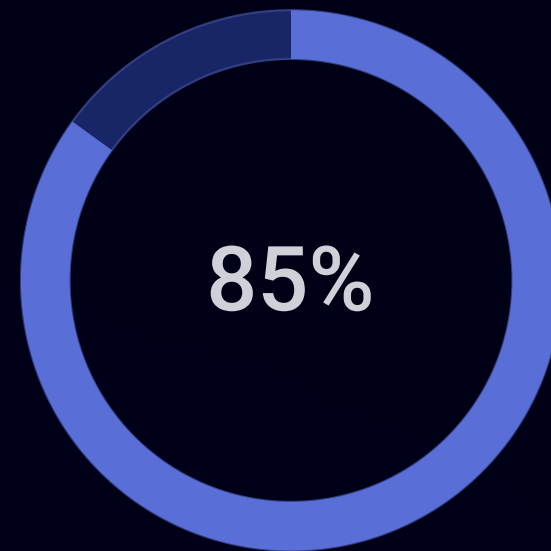
You think 100% of your dev team is doing R&D (Innovation).

The Reality:



Innovation (CapEx)

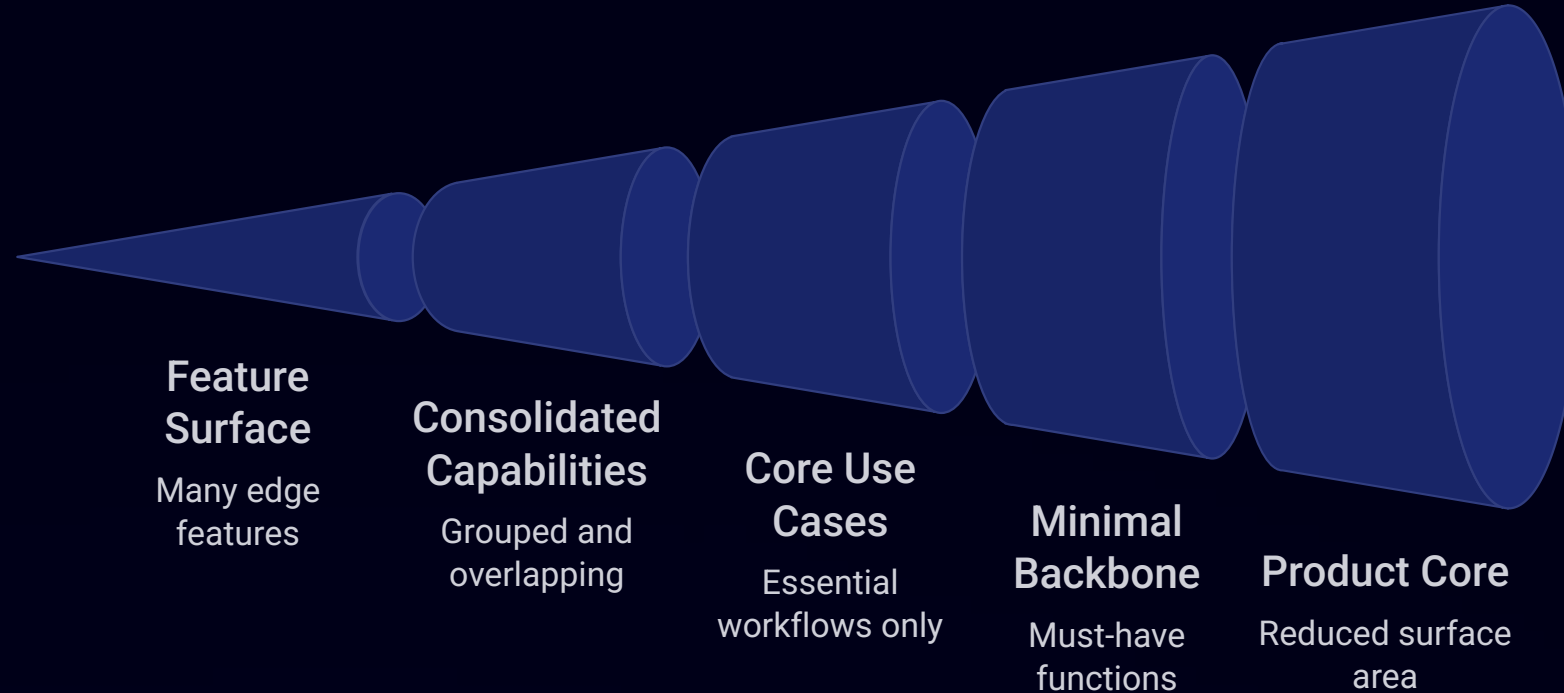
Building new value.



Tax (OpEx)

Keeping the lights on, fixing bugs, refactoring legacy code.

Stop Paying the Tax.



01

The Method:

Instead of asking "What should we add to the roadmap?", ask "What must we keep to stay in business?"

02

The Goal:

Reduce the surface area of the product. Smaller surface area = Lower Tax = Higher Velocity.

Solvency > Features.



Cluttered System

Many overlapping features and tangled code



Streamlined System

Fewer, well-defined components and faster delivery

The Rule:

You cannot "code your way out" of complexity. You must "delete your way out."

Call to Action:

Calculate your Tax. If >50% of your team is on "Maintenance," you are not an R&D shop. You are a utility company.

Establish Financial Sovereignty.

The Office of the Product Economist

Services: Unit Economics Audit & Executive Advisory.

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